

INVESTOR CHARTER FOR DEPOSITORY PARTICIPANTS

Annexure A

1. Vision

Towards making Indian Securities Market - Transparent, Efficient, & Investor friendly by providing safe, reliable, transparent and trusted record keeping platform for investors to hold and transfer securities in dematerialized form.

2. Mission

- To hold securities of investors in dematerialised form and facilitate its transfer, while ensuring safekeeping of securities and protecting interest of investors.
- To provide timely and accurate information to investors with regard to their holding and transfer of securities held by them.
- To provide the highest standards of investor education, investor awareness and timely services so as to enhance Investor Protection and create awareness about Investor Rights.

3. Details of business transacted by the Depository and Depository Participant (DP) A

Depository is an organization which holds securities of investors in electronic form.

Depositories provide services to various market participants - Exchanges, Clearing Corporations, Depository Participants (DPs), Issuers and Investors in both primary as well as secondary markets. The depository carries out its activities through its agents which are known as Depository Participants (DP). Details available on the link

[\[https://www.cdslindia.com/DP/dplist.aspx\]](https://www.cdslindia.com/DP/dplist.aspx) [\[https://nsdl.co.in/dpsch.php\]](https://nsdl.co.in/dpsch.php)

4. Description of services provided by the Depository through Depository Participants (DP) to investors

(1) Basic Services

Sr. no.	Brief about the Activity / Service	Expected Timelines for processing by the DP after receipt of proper documents
1.	Dematerialization of securities	7 days
2.	Rematerialization of securities	7 days

3.	Mutual Fund Conversion	5 days
Sr. no.	Brief about the Activity / Service	Expected Timelines for processing by the DP after receipt of proper documents
4.	Re-conversion of Mutual fund units	7 days
5.	Transmission of securities	7 days
6.	Registering pledge request	15 days
7.	Closure of demat account	30 days
8.	Settlement Instruction	For T+1 day settlements, Participants shall accept instructions from the Clients, in physical form up to 4 p.m. (in case of electronic instructions up to 6.00 p.m.) on T day for pay-in of securities. For T+0 day settlements, Participants shall accept EPI instructions from the clients, till 11:00 AM on T day. Note: 'T' refers 'Trade Day'

(2) Depositories provide special services like pledge, hypothecation, internet based services etc. in addition to their core services and these include

Sr. no.	Type of Activity /Service	Brief about the Activity / Service
1.	Value Added Services	Depositories also provide value added services such as (1) Basic Services Demat Account (BSDA)¹ (2) Transposition cum dematerialization² (3) Linkages with Clearing System³ (4) Distribution of cash and non-cash corporate benefits (Bonus, Rights, IPOs etc.), stock lending, demat of NSC / KVP, demat of warehouse receipts etc.

2.	Consolidated Account statement (CAS)	CAS is issued within 10 days from the end of the month (if there were transactions in the previous month) or half yearly (if no transactions).
3.	Digitalization of services provided by the depositories	Depositories offer below technology solutions and e-facilities to their demat account holders through DPs:
Sr. no.	Type of Activity /Service	Brief about the Activity / Service
		a. E-account opening⁴ b. Online instructions for execution⁵ c. e-DIS / Demat Gateway⁶ d. e-CAS facility⁷ e. Miscellaneous services⁸

5. Details of Grievance Redressal Mechanism

(1) The Process of investor grievance redressal

1.	Investor Complaint/ Grievances	Investor can lodge complaint/ grievance against the Depository/DP in the following ways: a. Electronic mode - (i) SCORES (a web based centralized grievance redressal system of SEBI) [https://scores.sebi.gov.in/] <u>Two Level Review for complaint/grievance against DP:</u> • First review done by Designated Body • Second review done by SEBI (ii) Respective Depository's web portal dedicated for the filing of complaint [https://investor.nsdl.com/portal/en/home] (iii) Emails to designated email IDs of Depository [relations@nsdl.com] b. Offline Mode⁹ The complaints/ grievances lodged directly with the Depository shall be resolved within 21 days.
2.	Online Dispute Resolution (ODR) platform for online Conciliation and Arbitration	If the Investor is not satisfied with the resolution provided by DP or other Market Participants, then the Investor has the option to file the complaint/ grievance on SMARTODR platform for its resolution through by online conciliation or arbitration. [https://smartodr.in/register]

3.	Steps to be followed in ODR for Review, Conciliation and Arbitration	○ Investor to approach Market Participant for redressal of complaint ○ If investor is not satisfied with response of Market Participant, he/she can escalate the complaint on SEBI SCORES portal. ○ Alternatively, the investor may also file a complaint on SMARTODR portal for its resolution through online conciliation and arbitration. ○ Upon receipt of complaint on SMARTODR portal, the relevant MII will review the matter and endeavour to resolve the matter between the Market Participant and investor within 21 days. ○ If the matter could not be amicably resolved, then the Investor may request the MII to refer the matter case for conciliation. ○ During the conciliation process, the conciliator will endeavor for amicable settlement of the dispute within 21 days, which may be extended with 10 days by the conciliator. ○ If the conciliation is unsuccessful, then the investor may request to refer the matter for arbitration. The arbitration process to be concluded by arbitrator(s) within 30 days, which is extendable by 30 days.
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(2) Illustration of New Grievance Redressal System:

[The flow-chart of New Grievance Redressal System.](#)¹⁰

6. Guidance pertaining to special circumstances related to market activities:
Termination of the Depository Participant

Sr. No.	Type of special circumstances	Timelines for the Activity/ Service
1.	□ Depositories to terminate the participation in case a participant no longer meets the eligibility criteria and/or any other grounds as mentioned in the bye laws like suspension of trading member by the Stock Exchanges. □ Participant surrenders the participation by its own wish.	Client will have a right to transfer all its securities to any other Participant of its choice without any charges for the transfer within 30 days from the date of intimation by way of letter/email.

7. [Dos and Don'ts for Investors](#)¹¹

8. [Rights of investors](#)¹²

9. [Responsibilities of Investors](#)¹³

10. [Code of Conduct for Depositories](#)¹⁴

11. [Code of Conduct for Participants](#)¹⁵